

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

RESPONSE TO COMPLAINANT CMI DISTRIBUTION, INC.'S
PROPOSED FINDINGS OF FACT OF RESPONDENTS OF RESPONDENTS
SERVICE BY AIR, INC. AND RADIANT CUSTOMS SERVICES INC.

Respondent Service by Air, Inc. responds to complainant CMI Distribution, Inc.'s

Proposed Findings of Fact as follows:

1. CMI contracted with SBA to transport more than 60 containers of plastic bags and vinyl gloves from China into the United States. Declaration of Maria T. Vega in Support of Judgment Against SBA ("Vega Dec.") at ¶2, Exh. A. CMI requested that the goods move by ocean transportation and that the goods be delivered to door locations in the United States. *Id.* RESPONSE: ADMITTED.

2. For those shipments, SBA invoiced CMI over \$400,000 in demurrage and/or storage fees. *Id.* at ¶3. The vast majority of the fees charged by SBA and paid by CMI were what SBA billed as demurrage charges. *Id.* RESPONSE: ADMITTED.

3. On October 6, 2017, the Presiding Judge entered an Order dismissing without prejudice claims that did not involve shipments by water from a foreign port to a port in the United States and then on to the United States. *See* Docket No. 17-05, *CMI v. Service by Air, Inc.*, October 6, 2017 Order. The Order denied SBA's Motion to Dismiss the remainder of the claims asserted against it. *Id.* RESPONSE: ADMITTED.

4. In this proceeding, CMI is not seeking relief as to shipments that did not move by water from a foreign port to a port in the United States and then on to a final destination in the United States. Vega Dec. at ¶4. RESPONSE: ADMITTED.

5. The total amount of damage for which relief is sought by CMI is \$276,050.50. Vega Dec. at ¶5. RESPONSE: ADMITTED.

6. SBA is a full-service logistics provider that provides both air and ocean services. Deposition of Bryan Tincher ("Tincher Dep.") at 18:10-12; 19-22, Exh. B. RESPONSE: ADMITTED.

7. CMI utilized UTI, United States Inc. (“UTI”) an Ocean Transportation Intermediary (“OTI”) to transports goods from China to the United States beginning 2013 to 2014. Vega Dec. at ¶6, Exh. A. RESPONSE: DENIED. Declaration of Edward A. Zasada (“Zasada Declaration”). STATES A LEGAL CONCLUSION.

8. UTI was a non-vessel operating common carrier (“NVOCC”) with a tariff published pursuant to the Shipping Act of 1984. *See* UTI Bill of Lading, Exh. H. RESPONSE: STATES A LEGAL CONCLUSION.

9. In 2014, CMI and SBA engaged in discussions regarding having SBA transport goods from China to the United States on CMI’s behalf. Vega Dec. at ¶8. RESPONSE: ADMITTED.

10. In those discussions, SBA represented that it could provide the same type of services that UTI had been providing to CMI. Tincher Dep. at 67:8-11, 67:23-68:8; Exh. B. UTI is an NVOCC. Exh. H. RESPONSE: DENIED, as Tincher used the term “essentially” in the cited passage.

11. CMI informed SBA that its rates needed to match or beat UTI’s rates, which were published in its tariff. Vega Dec. at ¶ 10; Exh. A-1 at 003084. RESPONSE: ADMITTED.

12. In response, SBA provided CMI with what it purported was SBA’s tariff so that CMI could draw a comparison between SBA and UTI’s services and respective tariff provisions. Vega Dec. at ¶11, Exh. A-2; Tincher Dep. at 58: 13-59:1. RESPONSE: DENIED. Declaration of Justin M. Jalowiecki (“Jalowiecki Declaration”).

13. The SBA tariff that SBA provided to CMI purported that it was effective from August 27, 2014 until September 27, 2014. Vega Dec. at ¶12; Exh. A-2. RESPONSE: DENIED. Jalowiecki Declaration.

14. By providing the tariff to CMI, SBA represented to CMI that it was providing the same type of services as UTI. Tincher Dep. at 67:8-11. SBA did not believe it was necessary to make a distinction between the types of NVOCC services that UTI was providing versus the services SBA would be providing. Tincher Dep. at 67:23-68:2. RESPONSE: DENIED. Jalowiecki Declaration. Testimony is inaccurately summarized. STATES A LEGAL CONCLUSION.

15. The SBA tariff that SBA provided to CMI had a reference at the top to its Negotiated Rate Agreement (“NRA”). Vega Dec. at ¶14; Exh. A-2. The NRA exemption is only available to licensed NVOCCs. 46 C.F.R. § 532.2. RESPONSE: DENIED. Jalowiecki Declaration. STATES A LEGAL CONCLUSION.

16. In addition to the rates set forth therein, the SBA tariff provided to CMI stated that: “During the term of the NRA, transportation is subject to applicable surcharges, accessorial charges, and/or GRs published in Carrier’s tariff and effective at the time of shipment, unless otherwise specified in this NRA (or the originating carrier in the case of through transportation)”. Vega Dec. at ¶14. RESPONSE: DENIED. Jalowiecki Declaration.

17. Although the tariff provided to CMI referred to SBA’s NRA, SBA did not in fact have an NRA. Tincher Dep. at 61:21-62:7. RESPONSE: DENIED (although admitted that SBA does not have a tariff). Jalowiecki Declaration.

18. Although the tariff provided to CMI stated that the transportation was subject to applicable surcharges, accessorial charges, and/or GRIs published in Carrier’s tariff, SBA

did not actually have a published tariff. Tincher Dep. at 61:21-62:7. RESPONSE: DENIED (although admitted that SBA does not have a tariff). Jalowiecki Declaration.

19. Although SBA was aware that it should have informed CMI that it did not actually have a tariff, SBA failed to do so. Tincher Dep. at 65:7-11. RESPONSE: DENIED (CMI knew SBA did not have a tariff, because SBA was not an NVOCC). Jalowiecki Declaration.

20. CMI had no reason to believe that SBA's reference to SBA's Negotiated Rate Arrangement was false. Vega Dec. at ¶15. RESPONSE: DENIED. Jalowiecki Declaration.

21. CMI had no reason to believe that although SBA provided it with what SBA represented to be the Carrier's (SBA's) published tariff, in fact SBA had no published tariff. Vega Dec. at ¶16. RESPONSE: DENIED. Jalowiecki Declaration.

22. CMI had no reason to believe that although SBA represented that its tariff had surcharges, accessorial charges, and a General Rate Increase ("GRI") in its tariff, in fact SBA had no tariff. Vega Dec. at ¶17. RESPONSE: DENIED. Jalowiecki Declaration.

23. Based in part upon the representations made by SBA regarding its tariff and the rates contained therein, CMI chose to have SBA provide it with ocean transportation services instead of UTI. Vega Dec. at ¶19. SBA did not inform CMI that one transportation provider (UTI) was assuming responsibility for the transportation of its goods and the other (SBA) would not be assuming responsibility for the transportation of its goods. Tincher Dep. at 67:23-68:2. RESPONSE: DENIED. Jalowiecki Declaration.

24. Although SBA assumed that a customer would want to know if one transportation provider was assuming responsibility for the transportation of its goods (UTI)

and the other was not (SBA), SBA never informed CMI of that fact. Tincher Dep at 68:2-8.

RESPONSE: DENIED. Inaccurate summary of testimony. Jalowiecki Declaration.

25. After CMI chose to have SBA provide it with NVOCC services instead of UTI, SBA continued to refer to its FOB tariff, despite the fact that SBA did not have a tariff or an NRA. Exh. A-3. RESPONSE: DENIED. Jalowiecki Declaration, confirming that CMI did not understand Tincher's use of the term "tariff" to mean an NVOCC tariff.

26. In addition to representing that it was a carrier with a published tariff, SBA issued bills of lading to CMI under SBA's name for some of the transportation at issue. Vega Dec. at ¶22, Exh. A-4. RESPONSE: DENIED. Jalowiecki Declaration.

27. An airway bill is a bill of lading. Tincher Dep. at 78:22-24. RESPONSE: LEGAL CONCLUSION.

28. SBA issued its bills of lading to CMI for some of the shipments at issue along with separate invoices. Vega Dec. at ¶23-24; Tincher Dep. at 78:9-14. RESPONSE: DENIED. Jalowiecki Declaration.

29. The bills of lading were "issued by Service By Air, Inc., 811 Thorndale Ave., Bensenville, IL. 60106." Vega Dec. at ¶23-24; Exh. A-4. Most of the bills of lading issued by SBA identified CMI as the consignee for the shipments at issue. *Id.* at 25. The bills of lading issued by SBA identified CMI's suppliers as the shipper. *Id.* RESPONSE: DENIED. Jalowiecki Declaration.

30. Most of the bills of lading issued by SBA provided that the goods could move by any other means than air and by other carriers. *Id.* at ¶26; Exh. A-4. RESPONSE: DENIED. Jalowiecki Declaration.

31. The primary contact person between SBA and CMI for SBA was Bryan Tincher. Tincher Dep. at 53:22-54:3. Mr. Tincher testified under oath that SBA assumed responsibility for the delivery of CMI's cargo. Tincher Dep. at 31:15-21; 33:18-22. This responsibility continued until the cargo was delivered to the ultimate destination. *Id.* at 35:7-10. RESPONSE: STATES A LEGAL CONCLUSION.

32. Once CMI chose to have SBA transport CMI's goods from China to the United States, CMI ceased having any control over the goods or their transportation. Vega Dec. at ¶29. RESPONSE: STATES A LEGAL CONNCLUSION.

33. SBA, rather than CMI, chose what steamship line would transport CMI's goods. Vega Dec. at ¶30. RESPONSE: DENIED. Bills of lading issued by LAS Freight and other Chinese NVOCCs demonstrate that they selected steamship lines. Copies attached to Zasada Declaration.

34. CMI had no contacts with the steamship lines who transported its goods. *Id.* at 31. RESPONSE: ADMITTED.

35. CMI had no contacts with LAS Freight and solely looked to SBA for the provision of services. *Id.* at 32. RESPONSE: ADMITTED.

36. SBA's 30(b)(6) witness, Edward Zasada, testified when goods are moving from a port to the ultimate consignee on a through bill of lading, they remain as ocean transportation. Deposition of Ed Zasada ("Zasada Dep.") at 23:13-18, Exh. C. RESPONSE: STATES A LEGAL CONCLUSION.

37. As a result, any charges that are assessed, whether deemed demurrage or detention, are part of the ocean transportation until the goods are actually delivered to the

ultimate destination pursuant to the bill of lading. Zasada Dep. at 23:20-24:2. RESPONSE: STATES A LEGAL CONCLUSION.

38. Mr. Tincher testified that if there was damage to CMI's cargo, he would tell CMI to submit a claim to SBA to get credit for its damages. Tincher Dep at 28:1-12. RESPONSE: DENIED. Mischaracterizes testimony, and Declaration of Edward Zasada.

39. Mr. Tincher believed that even for goods moving under a through bill of lading, the inland portion of the transportation was not part of the ocean transportation. *Id.* at 33:11- 34:9. RESPONSE: STATES A LEGAL CONCLUSION

40. SBA was acting as LAS Freight's business partner when LAS Freight issued bills of lading identifying CMI as the shipper or consignee. Tincher Dep. 86:13-87:9. RESPONSE: LEGAL CONCLUSION; Vague and ambiguous as to the term "business partner."

41. SBA understands that an NVOCC can only charge what is reflected in the NVOCC's tariff. Zasada Dep. at 24:13-17. RESPONSE: STATES A LEGAL CONCLUSION.

42. When SBA invoiced CMI for demurrage, SBA was billing CMI for charges assessed by the steamship line, but it marked up those charges. Tincher Dep. at 119:3-91, 20:1- 3. RESPONSE: DENIED. Mischaracterizes testimony. SBA admits it marked up demurrage charges paid to Freight Tech.

43. As reflected in paragraph 132 to 139 below, SBA repeatedly informed CMI that it was in direct communications with steamship lines regarding the demurrage claims at issue. *See* Exh. A-6. RESPONSE: DENIED. Mischaracterizes statements.

44. Mr. Tincher does not remember ever telling CMI that SBA was using LAS Freight as an NVOCC. Tincher Dep. at 136:3-15. RESPONSE: DENIED. Mischaracterizes testimony (the testimony is that he does not remember one way or the other).

45. SBA avoided disclosing the fact that other NVOCCs were involved in transporting CMI's goods. Tincher Dep. at 154:19-22; *see also* Zasada Dep. at 25:11-26:9 (chose to refer to "people with the boats" instead of NVOCCs) and 42:18-43:19. Bryan Tincher testified that he failed to disclose this information to CMI because he wanted to keep things "simple." Tincher Dep. at 154:19-22. RESPONSE: DENIED as to the use of the term "other NVOCCs," which implies without basis that SBA was an NVOCC.

46. SBA's 30(b)(6) witness testified that SBA incorrectly referred to SBA as having direct communications with steamship lines because Maria Vega and CMI "do not understand the transportation process and don't understand the terms that we use...." Zasada Dep. at 25:11-22. As a result, SBA would use the term steamship line even though SBA was not referring to a steamship line. *Id.* at 25:8-26:9. RESPONSE: ADMITTED.

47. Based upon the purported SBA tariff it had been provided by SBA and the SBA bills of lading SBA had issued to CMI, CMI believed that SBA was taking responsibility for the transportation of CMI's shipments, and in doing so, SBA was acting and holding itself out as a carrier. Vega Dec. at ¶37. RESPONSE: DENIED. Jalowiecki Declaration. STATES A LEGAL CONCLUSION.

48. At no point did SBA inform CMI that SBA was not assuming responsibility for the transportation at issue. Vega Dec. at ¶20. RESPONSE: ADMITTED, although vague and ambiguous as to the term "assuming responsibility," which does not state the specific responsibilities SBA purportedly assumed.

49. SBA's actions and practices were consistent with it assuming responsibility for the transportation at issue. Tincher Dep. at 31:15-21. RESPONSE: DENIED. STATES A LEGAL CONCLUSION.

50. At all times CMI believed that if its goods were damaged in transit, SBA as CMI's carrier would be responsible for such damages. Vega Dec. at ¶38. RESPONSE: STATES A LEGAL CONCLUSION.

52. LAS Freight was SBA's partner. Tincher Dep. at 24:5-24. LAS Freight and SBA split revenues, including for the CMI shipments. *Id.* RESPONSE: DENIED. Mischaracterizes testimony. Vague and ambiguous as to the term "partner." STATES A LEGAL CONCLUSION.

53. LAS Freight also acted as SBA's agent in China. Tincher Dep. at 23:18-21. LAS Freight was acting as SBA's agent throughout the transportation at issue. *Id.* LAS Freight was acting on SBA's behalf throughout the shipments at issue. *Id.* at 52:15-18. RESPONSE: STATES A LEGAL CONCLUSION.

54. Bryan Tincher, who primarily dealt with LAS Freight and CMI for SBA, did not consider LAS Freight to be an NVOCC. Tincher Dep. at 26:1-14. RESPONSE: STATES A LEGAL CONCLUSION.

55. Mr. Tincher did not believe that LAS Freight's issuance of bills of lading meant that it was acting as an NVOCC. Tincher Dep. at 26:1-12. RESPONSE: STATES A LEGAL CONCLUSION.

56. SBA's 30(b)(6) witness, Edward Zasada, testified that he relied upon Mr. Tincher's expertise in regard to whether LAS Freight was acting as an NVOCC. Zasada Dep. at 15:15-17, Exh. C. RESPONSE: STATES A LEGAL CONCLUSION.

57. Despite repeated requests from CMI, SBA refused to provide details regarding the basis for the charges assessed, the amount of demurrage or storage charges it was assessing against CMI, and what parties were actually providing the underlying services. Vega Dec. at ¶42; Exh A-8. RESPONSE: DENIED. The SBA “air waybill” forms and the house bills of lading issued by Chinese NVOCCs, all of which CMI produced in discovery, demonstrate this is inaccurate.

58. This refusal to provide accurate information and supporting documentation started when SBA first began providing ocean transportation services for CMI and has continued unabated throughout this proceeding. Vega Dec. at ¶¶ 43, 77. RESPONSE: DENIED. The SBA “air waybill” forms and the house bills of lading issued by Chinese NVOCCs, all of which CMI produced in discovery, demonstrate this is inaccurate.

59. CMI served Interrogatories on SBA. CMI Interrogatories, Exh. D. RESPONSE: ADMITTED.

60. CMI requested that SBA identify all shipments for which SBA provided Transportation Services on behalf of CMI from 2013 to the present. Interrogatory No. 4, Exh. D. In its Interrogatories, CMI defined “Transportation Services” as meaning “any services relating to, arising from, or connected with transportation of goods on behalf of CMI.” *See* Exh. D. RESPONSE: ADMITTED.

61. SBA’s answer to Interrogatory No. 4 was “*None.*” CMI Interrogatories, Exh. D. RESPONSE: ADMITTED.

62. In SBA’s Motion to Dismiss in this proceeding, it stated that SBA “has never participated in ocean transportation.” Exh. I. RESPONSE: ADMITTED.

63. SBA submitted that sworn statement although it represents that it is a full-service logistics provider that provides both air and ocean services. Tincher Dep. at 18:19-22; Exh. B. RESPONSE: ADMITTED.

64. Given that SBA, at a minimum, contracted with CMI and LAS Freight to transport CMI's goods at issue from China to the United States by ocean this statement was knowingly false. Vega Dec. at ¶ 2. RESPONSE: DENIED. STATES A LEGAL CONCLUSION.

65. In the Second Affidavit of Edward Zasada filed in support of SBA's Reply Brief in Support of its Motion to Dismiss, Mr. Zasada swore under oath at ¶9, that SBA made no representation to CMI that any of the demurrage it was collecting was originally charged by a steamship line. Second Affidavit of Edward Zasada ("Aff. Of Zasada"), Exh. E. In fact, however, there were at last 8 separate emails in which this representation was made, *see* Exh A- 6, and three of those were made by Mr. Zasada himself and eight emails were copied to Mr. Zasada. *Id.* RESPONSE: DENIED. As explained in his deposition, Zasada made no deceptive communication by misuse of terminology.

66. Mr. Zasada's sworn Affidavit also asserted that "no VOCC demurrage was ever charged or collected" from CMI. Aff. of Zasada at ¶10. In deposition testimony, however, Mr. Zasada admitted that the demurrage that was collected was for VOCCs. Zasada Dep at 34:8-16. (Mr. Zasada's Second Affidavit that steamship line demurrage was never being collected "is an inaccurate statement.") RESPONSE: ADMITTED.

67. Bryan Tincher testified that the demurrage charges at issue were based on steamship line charges. Tincher Dep. 117:10-119:6. RESPONSE: DENIED. Mischaracterizes testimony.

68. SBA falsely informed its partner, LAS Freight, that this case had settled. 145:1-12. SBA never told LAS Freight that this information was inaccurate. *Id.* RESPONSE: DENIED as to use of the term “partner.” Otherwise ADMITTED.

68. Throughout the time period when SBA was providing transportation services for CMI, CMI employees repeatedly requested that SBA provide CMI with details regarding the basis for the demurrage charges being assessed, the amount of demurrage or storage charges it was assessing against CMI, and what parties were actually providing the underlying services. Vega Dec. at ¶42; Exh. A-8. RESPONSE: ADMITTED.

69. SBA consistently refused to provide accurate information and supporting documentation. Vega Dec. at ¶43. To the extent that SBA provided documentation regarding the charges it was assessing against CMI, the documentation was varying and often incorrect. *Id.* at ¶44. RESPONSE: DENIED. The SBA “air waybill” forms and the house bills of lading issued by Chinese NVOCCs, all of which CMI produced in discovery, demonstrate this is inaccurate.

70. The invoices issued by SBA to CMI were also often misleading, inconsistent and simply wrong. *Id.* at ¶45. RESPONSE: DENIED. The documentation speaks for itself as clear, consistent, and accurate.

71. In many instances, SBA issued invoices to CMI, which contained purported charges for Air Freight. *See* sample invoices attached as Exhibit A-9; *see also* Exh. A-10. SBA did this repeatedly despite the fact that virtually all of the transportation at issue moved by ocean. Vega Dec. at ¶46. RESPONSE: DENIED, as CMI was not confused. CMI 30(b)(6) Deposition at 172-73.

72. It was standard practice for SBA to issue invoices that did not break down the cost of demurrage or specify the days of demurrage. Zasada Dep. at 19:15-20:9; Exh. C. Thus, for example, SBA issued an invoice which merely stated, “Container Demurrage, \$27,100.” Vega Dec. at ¶47; Exh A-11. RESPONSE: ADMITTED.

73. SBA did this despite the fact that it would have been easier for its customers if the invoices reflected the number of days and the rate per day it was being charged instead of just a flat amount. Tinchler Dep. at 101:12-102:3. RESPONSE: ADMITTED.

74. SBA’s bills of lading were often incorrect. For example, SBA issued bills of lading to CMI indicating that the goods were moving through locations where they were not actually transported. Vega Dec. at ¶50; See Exh. A-4. Thus, in some instances, the SBA bill of lading issued to CMI indicated that the goods were transported from Hong Kong to O’Hare Int’l Airport or to Arizona despite the fact that ocean bills of lading issued by SBA’s partner, LAS Freight, indicated that the goods moved through various United States Ports. *Id.* RESPONSE: DENIED. Jalowiecki Declaration.

75. SBA normally did not provide CMI with copies of the underlying bills of lading on which its invoices were based. Vega Dec. at ¶51. RESPONSE: DENIED. Copies of bills of lading issued by Chinese NVOCCs which CMI produced in discovery.

76. SBA also issued bills of lading to CMI indicating that the goods moved by air when in fact other bills of lading issued by its partner, LAS Freight, indicated that the goods moved by ocean. Vega Dec. at ¶52; Exh. A-9. RESPONSE: DENIED. Jalowiecki Declaration.

77. How SBA determined what rates to charge CMI when it invoiced CMI for airfreight for goods that actually moved by ocean is uncertain. Vega Dec. at ¶53. In one

instance, SBA billed CMI for airfreight in the amount of \$5,400 for the movement of a 20-foot container for a container that was actually transported by the Mediterranean Shipping Company (“MSC”) on the MSC Luciana. *Id.*; Exh. A-12. RESPONSE: DENIED. Zasada Declaration.

78. On another occasion, CMI pointed out that it incorrectly had been invoiced for airfreight. Vega Dec. at ¶54; Exh. A-13. SBA acknowledged its error and then asserted that the invoice was for demurrage. *Id.* RESPONSE: DENIED, as CMI was not confused. CMI 30(b)(6) Deposition at 172-73.

79. For another container, SBA issued two separate invoices to CMI for airfreight. One invoice charged \$9,600 in airfreight and the second invoice charged \$4,550 in airfreight to CMI. Vega Dec. at ¶55; Exh. A-14; Tincher Dep. at 87:15-88:12. Although Bryan Tincher admitted in his sworn testimony that it was an “accounting error” for SBA to bill ocean transportation as airfreight, he testified that he was sure that there was a valid reason for SBA to issue two airfreight invoices. Tincher Dep. at 89:23:9-92:9. SBA believes that if it charged CMI that amount, the charges must be legitimate and CMI should just pay it. *Id.* at 92:5-9. RESPONSE: DENIED, as CMI was not confused. CMI 30(b)(6) Deposition at 172-73.

80. An NVOCC is required to publish and maintain in its electronic tariff all charges, classifications, rules and practices for the transportation services it provides. Ferreira Expert Report, Exh. F. RESPONSE: STATES A LEGAL CONCLUSION.

81. The tariff is required to include, in addition to freight charges, all additional charges related to the transportation services provided such as demurrage and

detention. *Id.* As is the case for transportation rates, an NVOCC may only assess additional charges as set forth in its tariff and effective for the time period the charges are assessed. *Id.* RESPONSE: STATES A LEGAL CONCLUSION.

82. SBA does not publish a tariff. SBA Response to Interrogatory No. 7, Exh. D. Thus, to the extent that it sought to assess any charges for NVOCC services against CMI, those charges would not be in compliance with the tariff requirements of the Shipping Act or FMC regulations. Ferreira Expert Report, Exh. F. RESPONSE: ADMITTED that SBA does not publish a tariff. DENIED as to the remainder. STATES A LEGAL CONCLUSION.

83. LAS Freight does not have a detention rule or detention charges in its tariff. *Id.* Thus, any charges assessed by LAS Freight would not be in compliance with the tariff requirements of the Shipping Act or FMC regulations. *Id.* RESPONSE: STATES A LEGAL CONCLUSION.

84. To the extent that SBA assessed demurrage charges against CMI, it did so incorrectly – even assuming that it could assess such charges without having a tariff in place. *Id.* DENIED. LEGAL CONCLUSION, and assumes SBA was an NVOCC. Jalowiecki Declaration.

85. “Demurrage” charges are assessed by a carrier for the use of space taken up by a container while it is in the carrier’s facility awaiting the customer’s pick-up after free time has expired. Ferreira Expert Report, Exh. F. RESPONSE: STATES A LEGAL CONCLUSION.

86. SBA admits that there was never a time when the containers at issue were in the steamship line’s possession for any extended period of time after their arrival at port.

Tincher Dep. at 36:8-11. Instead, containers immediately were taken out of the steamship line's possession. *Id.* at 36:12-14. RESPONSE: ADMITTED.

87. Documents produced in discovery by SBA reflect that SBA was invoiced by Freight Tech and other truckers and land-based transportation providers for storage of the containers at issue. Such charges indicate that the containers had been picked from the carrier's facilities and were not being held by the VOCCs during the time period in question. Ferreira Expert Report, Exh. F. RESPONSE: ADMITTED.

88. SBA admits that although almost all of the hundreds of thousands of dollars at issue that it assessed against CMI were billed as demurrage charges, none of those invoices were valid because none of the invoices were for time periods when containers in a carrier's facility awaiting the customer's pick up after free time had expired. Tincher Dep. at 46:10-24, Exh. B. RESPONSE: DENIED. Mischaracterizes testimony; assumes SBA was an NVOCC. STATES A LEGAL CONCLUSION.

89. Despite SBA representing to CMI that steamship lines were assessing demurrage charges, in fact, the containers were not stored past the free time at the port or in the carrier's facility. *Id.* at 46:17-21; 45:8-12. RESPONSE: DENIED. Mischaracterizes testimony.

90. Thus, SBA admits that although it billed, and collected, hundreds of thousands of dollars in demurrage charges from CMI, CMI did not actually owe any money for demurrage. *Id.* at 43:1-7, 43:21-44:6. RESPONSE: DENIED. Mischaracterizes testimony. STATES A LEGAL CONCLUSION.

91. SBA may assert that although it incorrectly billed CMI for demurrage, it is entitled to collect for detention or storage. Tincher Dep. at 43:9-19. RESPONSE: ADMITTED.

92. "Detention" charges are assessed by a carrier for use of its container equipment (usually a container but it may also include a chassis) which equipment remains in the customer's possession after the expiration of free time. Ferreira Expert Report, Exh. F. RESPONSE: STATES A LEGAL CONCLUSION.

93. Although the goods at issue moved on through bills of lading to CMI's customers, SBA made no effort determine if its billing practices were consistent with LAS Freight's or the steamship line's tariff. Tincher Dep. at 49:19-50:1; Exh. B. RESPONSE: STATES A LEGAL CONCLUSION. Assumes SBA was an NVOCC. Jalowiecki Declaration.

94. Mr. Tincher understood that there were provisions in a carrier's tariff reflecting what charges could be assessed for use of its containers but thought that charges for the use and storage of the steamship line's containers were determined by the railroads. *Id.* at 40:12-41:22. RESPONSE: DENIED. Mischaracterizes testimony. STATES A LEGAL CONCLUSION.

95. Despite the fact that SBA had no tariff and that LAS Freight's tariff had no provision allowing it to charge, much less mark up, for demurrage or detention charges, SBA testified that it marked up freight, demurrage and detention charges at a minimum of 20%. Tincher Dep. at 140:13-141:12. RESPONSE: DENIED. Mischaracterizes testimony. STATES A LEGAL CONCLUSION.

96. Even if SBA could assess detention charges without a valid tariff, which it cannot, the charges assessed are grossly inflated and fraudulent. Ferreira Expert Report, Exh. F. RESPONSE: STATES A LEGAL CONCLUSION.

97. The charges assessed by SBA are related to amounts invoiced to SBA by Freight Tech and other truckers and land-based transportation providers for storage of the containers at issue. *Id.* Such charges indicate that the containers had been picked from the carrier's facilities and were not being held by the vessel operating common carriers during the time period in question. *Id.* Thus, as reflected above, any charges assessed could not accurately be described as demurrage charges. *Id.* RESPONSE: STATES A LEGAL CONCLUSION.

98. To the extent that SBA could collect for the charges at issue, they would have to be for "detention." *Id.* RESPONSE: STATES A LEGAL CONCLUSION.

99. SBA billed CMI for \$1,535 in detention charges. Vega Dec. at ¶56; Exh. A-15. RESPONSE: ADMITTED.

100. Even presuming that SBA could charge CMI at all for detention – given that it incorrectly invoiced CMI for demurrage and that SBA does not have a tariff – the charges assessed are unjustified. Vega Dec. at ¶57. RESPONSE: DENIED. Zasada Declaration.

101. CMI was hindered in its ability to determine the exact amount SBA overcharged it because LAS Freight has not participated in this proceeding and has not provided documents reflecting what detention charges were actually assessed by the VOCCs that provided the underlying transportation and/or what period the containers at issue were "gated out" (the period when the containers were removed from the carriers' possession)

and “gated in” (when they were returned to the carrier.) *Id.* at ¶58. RESPONSE: DENIED. Zasada Declaration.

102. It was not until Steve Ferreira performed the analysis necessary for his Expert Report in February of 2018 that CMI learned that SBA was fraudulently billing CMI for failure to return VOCCs’ containers during time periods when the containers had already been returned to the VOCC. *Id.* at ¶59. RESPONSE: DENIED. Zasada Declaration.

103. For some of the shipments transported by Mediterranean Shipping Company (“MSC”), CMI’s expert, Steve Ferreira, was able to determine the dates when specific containers at issue were gated out and gated in by reviewing MSC’s automated container tracking system. *Id.* (Other VOCCs that transported shipments at issue do not maintain information in their container tracking systems that date back to the time period at issue (and MSC does not have data regarding all the containers in its tracking system. Exh. F. RESPONSE: DENIED. Zasada Declaration. STATES A LEGAL CONCLUSION.

104. The chart attached as Exh. F-1 to the Ferreira Report demonstrates that for 11 of the containers at issue that were transported by MSC for which container data is available in MSC’s automated container tracking system, CMI was assessed \$95,089 in what SBA inaccurately described as demurrage charges. Pursuant to MSC’s tariff, however, the amount that could have been charged under the MSC tariff was only \$29,600. Ferreira Expert Report, Exh. F. RESPONSE: DENIED. Zasada Declaration. STATES A LEGAL CONCLUSION.

105. CMI’s overcharges were partly due to the fact that the number of days for which SBA assessed the charge were often incorrect and seriously inflated. *Id.* By way of example, for the shipment in Folder 33, Exh. F-1, CMI was assessed for 31 days of

“demurrage.” *See also* Exh. F-1. MSC’s automated container tracking system, however, reflects that the container at issue was gated out on February 23, 2015 and gated in, *i.e.*, returned to MSC, three days later on February 26, 2015. Ferreira Expert Report, Exh. F. Thus, even if LAS Freight or SBA had a basis for the charges in its tariff, CMI should not have been charged for 31 days. *Id.* Indeed, because MSC’s tariff allows for four days’ free time under its detention rules, there should have been no charge -no matter how they are justified. *Id.* RESPONSE: DENIED. Zasada Declaration. STATES A LEGAL CONCLUSION.

106. SBA never made any effort to determine if the invoices it was receiving from drayage companies such as Freight Tech were accurate. Tincher Dep. at 104:19-22. SBA just assumed that the drayage invoices were accurate. *Id.* RESPONSE: DENIED. Mischaracterizes testimony (see through p. 105 of Tincher Deposition).

107. The amount that CMI was overcharged even as calculated under the VOCCs’ tariffs is also a product of the fact that CMI was charged rates that did not exist in MSC’s tariff, much less LAS Freight’s tariff. Ferreira Expert Report, Exh. F. MSC’s detention rules allow for 4 free days from the gate out date before detention charges are assessed. The detention rates are then as follows: subsequent four days (\$115); next four days (\$165) and \$195 per day thereafter. Although the basis for the “demurrage” charges assessed against CMI is not clearly articulated by SBA, CMI was charged rates in excess of \$300 per hour. *See, e.g.*, Exh. F-1, Folder 33 (31 days X \$309.67 = \$9,600). RESPONSE: DENIED. Zasada Declaration. STATES A LEGAL CONCLUSION.

108. SBA was charging CMI \$300 per day for what SBA called demurrage – even though no demurrage existed. Tincher Dep. at 49:5-7. RESPONSE: DENIED. Mischaracterizes testimony. Zasada Declaration. STATES A LEGAL CONCLUSION.

109. SBA assumed that CMI understood it was being billed incorrectly for demurrage because CMI paid SBA's invoices. *Id.* at 44:20-45:3.

110. CMI was never provided an invoice from the steamship line or other documentation reflecting the basis for charging CMI \$300 (or any other amount) per day for container demurrage. Vega Dec. at ¶60. RESPONSE: DENIED. Mischaracterizes testimony. Zasada Declaration. STATES A LEGAL CONCLUSION.

111. Records CMI was able to obtain in discovery reflect that other VOCCs, including NYK Line, K Line and Yang Ming, carried some of the shipments at issue. Ferreira Expert Report, Exh. F. RESPONSE: ADMITTED.

112. NYK Line's tariff provides for 4 days of free time for detention charges. Subsequently, NYK Line charges detention rates of \$140 per day. *Id.* RESPONSE: ADMITTED.

113. K Line's tariff has a detention charge of \$100 per day. *Id.* RESPONSE: ADMITTED.

114. Yang Ming allows four days of free time and subsequently charges detention rates of \$130 per day. *Id.* RESPONSE: ADMITTED.

115. CMI was billed for charges well in excess of the rates reflected in each of those VOCCs' tariffs. In most instances CMI was charged \$300 per day in what inaccurately was described as demurrage charges. Tincher Dep. at 118:11-119:6; 122:17-

20. RESPONSE: DENIED. Mischaracterizes testimony. Zasada Declaration. STATES A LEGAL CONCLUSION.

116. SBA represented to CMI that the “demurrage” charges being assessed were pass through charges from the steamship line. Vega Dec. at ¶61; Exh. A-5 (“We paid demurrage up to June 18 and this is what you are billed for.”) As reflected above and shown more fully below, SBA’s mark ups for the shipments at issue were often exorbitant. *Id.* at ¶63.

RESPONSE: DENIED. Mischaracterizes testimony. Zasada Declaration. STATES A LEGAL CONCLUSION.

117. SBA charged \$300 per day for demurrage despite fact that underlying charge was only \$100 per day because every company needs to make money and that is why SBA is in business. Tincher Dep. at 127:14-22. RESPONSE: DENIED. Mischaracterizes testimony. Zasada Declaration. STATES A LEGAL CONCLUSION.

118. SBA’s 30(b)(6) witness testified that SBA could only mark-up freight charges a little. Zasada Dep. 28:10-20. Most of SBA’s profit was in demurrage and detention and other ancillary charges. 28:21-29:1 (“It turned into profit. Yes.”). RESPONSE: DENIED. Mischaracterizes testimony.

119. Bryan Tincher testified that SBA’s corporate policy was to markup costs by at least 20%. Tincher Dep. at 38:2-22. RESPONSE: DENIED. Mischaracterizes testimony.

120. For most of the shipments at issue, the markup was significantly higher than 20%. Tincher Dep. at 93:10-95:16, 109:11-110:16, 118:11-119:2. RESPONSE: DENIED. Mischaracterizes testimony. Zasada Declaration.

121. SBA received invoices from truckers and drayage companies for costs associated with storing containers. Vega Dec. at ¶41; *see* sample invoices, Exh. A-7.

RESPONSE: ADMITTED.

122. SBA never shared the underlying invoices from the drayage company because it did not want to show its mark up. Tincher 105:7-106:1. RESPONSE: DENIED.

Mischaracterizes testimony.

123. SBA represented to CMI that the “demurrage” charges being assessed were straight pass through costs and there was no mark up at all. Vega Dec. at ¶61; Exh. A-5. SBA certainly never disclosed that it was marking up invoices by up to 800%. *Id.* at ¶62. RESPONSE: DENIED. Zasada Declaration.

124. CMI never informed SBA that it wanted SBA to charge it \$300 per day for demurrage or detention. Vega Dec. at ¶65. There would have been no reason to do so. *Id.* RESPONSE: DENIED. Zasada Declaration.

125. CMI did ask SBA to provide it with estimates of what demurrage charges were accruing because SBA often issued conflicting invoices reflecting exorbitant amounts for demurrage with no back up documentation. Vega Dec. at ¶66. SBA’s billing practices made it impossible for CMI to operate efficiently. *Id.* RESPONSE: DENIED. Zasada Declaration.

126. For goods moving under Bill of Lading Number N771678, SBA received an invoice from the drayage company, Jewels Transportation, for storage in the amount of \$852. Exh. B-2. SBA then invoiced CMI for storage in the amount of \$6,650.00 for storage, a markup in excess of 780%. Exh. B-2. RESPONSE: DENIED. Zasada Declaration.

127. Bryan Tincher testified that the reason for the markup was probably because SBA had lost money on another file and wanted to make it up on this shipment.

Tincher Dep. at 94:20-24. He testified that a markup in excess of 780% was appropriate.

95:10-19. RESPONSE: DENIED. Zasada Declaration.

128. SBA never informed CMI that it was marking up invoices by 100, 200, 300, 400, 500, 600, 700 or 800 percent. Tincher Dep. 96:13-23. RESPONSE: DENIED. Zasada Declaration.

129. In another instance, Freight Tech invoiced SBA \$9,158 in various charges. Tincher Dep. at 133:16-134:4; Exh. B-3. Of that amount, \$6,125 was for demurrage for 49 days (at \$125 per day) and \$1,200 was for yard storage (at \$25 per day) for 48 days, and \$1,225 in chassis charges. *Id.* The total amount that could be deemed ancillary charges was \$8,550. *Id.* (The other charges such as for fuel surcharges were classified as part of freight charges that were billed separately by SBA (and also marked up at least 20%). SBA then charged CMI for \$14,100 in container demurrage. *Id.* Thus, SBA marked up the invoice by in excess of \$5,550. RESPONSE: DENIED. Zasada Declaration.

130. Examples of some of SBA's other marks ups are below.

- a. The drayage company, Freight Tech, charged \$100 per day for demurrage for NYK containers. SBA then marked up that charge to \$300 per day – a 300% mark up. Tincher Dep at 118:11-119:6 (SBA charged \$300 per day for ‘demurrage’ regardless of the underlying rate.) Neither SBA nor LAS Freight had tariff provisions for demurrage or detention charges or provisions allowing for any mark up in demurrage charges, much as less a

300% markup. Tincher Dep. 119:1-9; SBA Response to Interrogatory No. 7, Exh. D; Ferreira Expert Report, Exh. F.

b. Although Freight Tech invoiced SBA \$5,200 in demurrage (and \$2875 in other ancillary charges), SBA billed CMI \$14,300 in container demurrage. Neither SBA nor LAS Freight had tariff provisions for demurrage or detention charges or provisions allowing for any mark up in demurrage charges. Tincher at Dep. 120:6-24; Exh. B-1.

c. Although Freight Tech invoiced SBA \$1,000 in demurrage charges (and \$800 in other ancillary charges). SBA billed CMI \$6,325 in container demurrage charges. That is in excess of a 300% mark up. Neither SBA nor LAS Freight had tariff provisions for demurrage or detention charges or provisions allowing for any mark up in demurrage charges. Tincher Dep. at 123:7-124:14; Exh. B-5

d. Although Freight Tech invoiced SBA \$3,600 in demurrage charges (and a \$1,675 in other ancillary charges), SBA billed CMI \$9,900 in container demurrage charges. Neither SBA nor LAS Freight had tariff provisions for demurrage or detention charges or provisions allowing for any mark up in demurrage charges. Tincher Dep. 125:1-8. Exh. B-6

e. Although SBA was charged \$700 (at \$100 per day for four days and \$150 per day for two days) for "demurrage" for MSC containers (and \$475 in other ancillary charges) SBA billed CMI \$2,700 for container demurrage. Neither SBA nor LAS Freight had tariff provisions for demurrage or

detention charges or provisions allowing for any mark up in demurrage charges. Tincher Dep. 128:21- 129:7;Exh. B-7.

f. Although SBA was charged \$2,480 (at \$140 per day for eight days and \$170 per day for eight days) for “demurrage” for MSC containers (and \$ 600 in other ancillary charges) SBA billed CMI \$8,400 for container demurrage. Neither SBA nor LAS Freight had tariff provisions for demurrage or detention charges or provisions allowing for any mark up in demurrage charges. Tincher Dep. 130:11- 131:15;Exh. B-8.

RESPONSE: DENIED. Zasada Declaration.

131. When CMI inquired of SBA why its demurrage and storage charges were so high, SBA informed CMI that the rates being charged were merely pass throughs of other transportation providers’ charges. Vega Dec. at ¶61; Exh. A-5. RESPONSE: DENIED. Zasada Declaration.

132. In contemporaneous communications, SBA repeatedly asserted that steamship lines were going to seize CMI containers due to unpaid demurrage charges. Vega Dec. at ¶ 68; Exh. A-6. RESPONSE: DENIED. Zasada deposition testimony.

133. In response to discovery requests, however, SBA represented that it never actually had any communications with steamship lines and thus these statements were fabrications. *See* SBA Response to Interrogatory Nos. 36-38, attached as Exh. D; Zasada Dep. at 25:8-10, Exh. C. (SBA had no contact with the steamship line.) Some of the many instances when SBA made such misrepresentations are set forth below:

- a. In communications with CMI on June 29, 2015, SBA represented that the SS [steamship line] was giving SBA Global Logistics Services a difficult time regarding demurrage. *See* Exh. A-6.
- b. In other communications with CMI, SBA Global Logistics Services represented that the container demurrage charges were non-negotiable because it had “already paid the SS [steamship] Line.” Exh. A-6 at 5. SBA Global Logistics Services also reported that the SS line will not accept any more delays.”
- c. SBA informed CMI that if it did not pay demurrage on three containers, “the steamship line was going to confiscate [the containers] and put a lien on them.” Exh. A-6 at 7.
- d. On June 23, 2015 Ed Zasada informed CMI that SBA had to pay demurrage on 3 containers because the steamship line was going to confiscate and put a lien on them. Exh. A-6 at 7. e. On June 29, 2015, Ed Zasada of SBA informed CMI that SBA was able to save CMI money on demurrage because SBA had pleaded with various steamship lines for help with charges and had some success. Exh. A-6.
- f. Bryan Tinchler told CMI that the SS Line said they would take action if the containers were not emptied by Thursday and that they would warehouse them in Las Vegas. Exh. A-6.
- g. CMI reported that Steamship line was giving you a difficult time about returning their empty back. Exh. A-6 at 4.

h. CMI again referring to the SS Line giving it hard time about a container. Exh. A-6 at 7.

RESPONSE: DENIED. Zasada deposition testimony.

134. When CMI sought discovery from SBA regarding what steamship lines were making the threats referenced in paragraph above, SBA's answer was "None." Response to Interrogatory Numbers 36, 37, and 38, Exh. D. RESPONSE: ADMITTED.

135. When asked what steamship lines SBA had already paid demurrage on CMI's behalf, SBA again admitted "None." Interrogatory Response No. 42, Exh. D. RESPONSE: ADMITTED.

136. In Bryan Tincher's deposition testimony, Tincher admitted that neither he nor anyone else from SBA ever dealt directly with steamship lines. Tincher Dep. at 148:12-150:3. RESPONSE: ADMITTED.

137. There was never a time when the containers at issue were ever in the steamship line's possession for an extended period of time. Tincher Dep. at 36:8-11. The containers were always immediately taken out of the steamship line's possession. Tincher Dep. at 36:12- 14. RESPONSE: DENIED. Mischaracterizes testimony.

138. SBA was stripping containers without CMI's knowledge or consent. Tincher Dep. at 168:4-169:2; Exh. A-6. After stripping containers, it was storing the goods in its warehouse, Tincher Dep. 169:11-20. SBA did not inform CMI that its goods were not being stored in SBA warehouse but instead in a trucker's warehouse because SBA did not want to reveal to CMI who SBA was dealing with in its transactions. *Id.* at 170:6-10 ("I don't think it's necessary to do so. They never ask."). RESPONSE: DENIED. Mischaracterizes testimony.

139. In deposition testimony SBA asserted that it made these false representations regarding its communications with steamship lines because CMI was an unsophisticated customer and it did not want to “confuse” CMI by telling it that other NVOCCs were actually transporting cargo and it wanted to keep things “simple” for CMI. Tincher Dep. at 154:19-22; Zasada Dep. at 25:18-26:9 and 42:18-43:19. RESPONSE: ADMITTED.

140. For some containers, even though the supplier had been paid and the containers were ready for release, and even though there were no charges associated with those containers, SBA refused to release them until it was paid demurrage charges on other unrelated shipments. Tincher Dep. at 112:1-113:3. This decision was made at the corporate level. *Id.* at 112:9-12; 114:4-11:6. RESPONSE: ADMITTED.

141. SBA would not release the containers in its possession until CMI paid what SBA incorrectly characterized as demurrage on other containers that SBA was billing at a rate of \$300 per day. Tincher Dep. 122:17-20; *see also* Tincher Dep. 121:1-4; Exh. B-1 (what SBA called demurrage charge was billed at \$100 a day by drayage company and was marked up by SBA to \$300 per day). RESPONSE: DENIED. Zasada Declaration.

142. In May of 2015, SBA informed CMI that it refused to release 15 containers in its possession until CMI paid \$267,000. Vega Dec. at ¶70. This amount sought was based on what SBA said was demurrage that had accrued on other containers that SBA was billing at a rate of \$300 per day. *Id.*; Exh. A-16. RESPONSE: DENIED as to “15 containers” and the sum of “\$267,000.” Otherwise ADMITTED.

143. Some of the charges that SBA was demanding be paid before it would release containers included charges arising out of instances when CMI was billed thousands

of dollars for the supposed delayed return of containers to MSC, despite the fact that the containers had immediately been returned to MSC and no charges had accrued. *See Ferreira Report*, Folder 33, Exh. F (CMI assessed for 31 days of “demurrage” despite fact that MSC’s automated container tracking system reflects that the container at issue was gated out on February 23, 2015 and gated in three days later on February 26, 2015). *Vega Dec.* at ¶71.

RESPONSE: DENIED. Zasada Declaration.

144. In order to obtain the release of some of its 15 containers, and so that CMI could continue to operate, CMI paid SBA \$178,962.74 on May 8, 2015. *Vega Dec.* at ¶72; Exh A-17. RESPONSE: ADMITTED.

145. Upon receipt of that payment, SBA released some of CMI’s containers but continued to hold a number of additional CMI containers. *Vega Dec.* at ¶73; Exh. A-16.

RESPONSE: DENIED. Zasada Declaration.

146. On June 5, 2015, Ed Zasada of SBA informed CMI that “Corporate” wanted more payments to be made before SBA would release an additional three (3) containers on which no payments were owed. *Vega Dec.* at ¶74; Exh. A-16. Again, CMI was compelled to make such payments in order to obtain the release of its containers. *Vega Dec.* at ¶74.

RESPONSE: ADMITTED.

147. Ultimately, CMI had to pay in excess of \$267,000 to obtain the release of containers on which no demurrage or other charges were outstanding. *Vega Dec.* at ¶75.

RESPONSE: DENIED. Zasada Declaration.

148. CMI served an Interrogatory upon SBA seeking the amount that SBA charges CMI for demurrage, detention, per diem or storage in excess of what SBA was billed by third parties. Interrogatory No. 31, Exh. D. SBA answered that because of the

“complexity” of SBA’s relationship with CMI, SBA could not provide such information for each shipment but that it generally applied a surcharge of 20% of the amount SBA paid to third party service providers. *Id.* RESPONSE: ADMITTED.

149. The statement that SBA was unable to determine the amount it surcharged CMI was false. Zasada Dep. at 28:4-7. When asked whether SBA could determine how much the markup was, Ed Zasada admitted that “I run the sales reports many time and I know exactly the the profit on the accounts overall.”) *Id.* RESPONSE: ADMITTED.

150. Despite this admission, SBA refused to provide a meaningful response to the discovery request. VegaDec. at ¶77. RESPONSE: DENIED. The answer speaks for itself.

151. CMI was invoiced by SBA, and paid SBA, \$276,060.50 in what SBA characterized as primarily demurrage charges, but also a small number of detention and storage charges. VegaDec. at ¶78. RESPONSE: ADMITTED.

152. Steve Ferreira’s Expert Report reflects that for some of the shipments that MSC moved the cargo, CMI was overcharged \$65,429. Exh. F-1. RESPONSE: DENIED. Zasada Declaration.

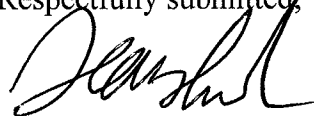
153. CMI reviewed documents produced in discovery by SBA that consisted of demurrage, detention and storage charges assessed against SBA by drayage companies. Vega Dec. at 80. (CMI did not duplicate the calculations made by Steve Ferreira). CMI then compared the amount that SBA had been charged for demurrage, detention and storage charges with the amount that SBA charged CMI for demurrage, detention and storage. *Id.* These documents reflect that SBA marked up such charges by \$42,570. *Id.* RESPONSE: DENIED. Zasada Declaration.

154. For some of the demurrage charges at issue, CMI received invoices from SBA but no underlying invoice was provided by a drayage company. Vega Dec. at ¶81. The total amount of the charges for SBA invoices falling in that category was \$91,096.50. *Id.*

RESPONSE: DENIED. Zasada Declaration.

155. Adding the totals in paragraph 152-154, CMI was overcharged by \$199,095.50. Vega Dec. at CJ[82. RESPONSE: DENIED. Zasada Declaration.

Respectfully submitted,



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May 2, 2017

CERTIFICATE OF SERVICE

The undersigned declares that on the date stated below I caused to be served the foregoing document, upon the following in the manner of service indicated:

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- | | |
|-------------------------------------|--|
| ☒ | Via First Class U.S. Mail |
| ☐ | Via Priority Mail Express |
| ☐ | Via Express Mail |
| ☐ | Via Hand Delivery |
| ☒ | Via Electronic Mail |
| ☐ | Via E-Service Within Clerk's online
eFiling Application |

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 2nd day of May, 2018.



Michelle Stark